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Case Name: *Sandra Diaz-Kelly et al. v. Flowers Baking Co. of Modesto, LLC*

Case No.: 24CV434653

This is a negligence action. Defendant Flowers Baking Co. of Modesto, LLC ("Flowers Baking") moves to strike punitive damages, the third cause of action, and the seventh cause of action from the first amended complaint ("FAC") filed by plaintiffs Sandra Diaz-Kelly and Julian Kelly (together, "Plaintiffs").

The court DENIES Flowers Baking's motion to strike the "entirety of Page 8, 7th cause of action for gross negligence" and the "entirety of Page 6, 3rd cause of action for misclassification." (See Notice of Flowers Baking's Motion to Strike, p. 2:8-9.) Flowers Baking appears to be moving to strike two entire causes of action from the FAC. This is improper. A motion to strike is not a substitute for a demurrer and cannot duplicate one. (*Pierson v. Sharp Mem'l Hosp.* (1989) 216 Cal.App.3d 340, 342 ["[A] motion to strike is generally used to reach defects in a pleading which are not subject to demurrer. A motion to strike does not lie to attack a complaint for insufficiency of allegations to justify relief; that is ground for general demurrer. A motion for judgment on the pleadings is made on the same grounds and decided on the same basis as a general demurrer . . ."], internal citation omitted.) Code of Civil Procedure section 436 "*does not authorize attacks on entire causes of action*, let alone entire pleadings." (*Ferraro v. Camarlinghi* (2008) 161 Cal.App.4th 509, 528, internal citation omitted, emphasis added.) "Its purpose is to authorize the excision of superfluous or abusive allegations." (*Ibid*.)

The court GRANTS Flowers Baking's motion to strike punitive damages from page 3 of the FAC with 20 days' leave to amend. First, to request punitive damages against a corporate entity, like Flowers Baking, a complaint must allege that an officer, director, or managing agent of the corporation was either personally responsible for the alleged conduct or that an officer, director, or managing agent of the corporation: (1) had advance knowledge of the conduct and consciously disregarded it or (2) authorized or ratified the conduct. (See Civ. Code, § 3294, subd. (b).) The FAC fails to do so.

Second, Civil Code section 3294 authorizes the recovery of punitive damages in "an action for the breach of an obligation not arising from contract, where it is proven by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice . . ." (Civ. Code, § 3294, subd. (a).) "In order to state a prima facie claim for punitive damages, a complaint must set forth the elements as stated in the general punitive damage statute, Civil Code section 3294. These statutory elements include allegations that the defendant has been guilty of oppression, fraud, or malice." (*Turman v. Turning Point of Central California, Inc.* (2010) 191 Cal.App.4th 53, 63 (*Turman*), internal citations omitted.) Here, the FAC alleges that that Flowers Baking placed a dumpster "in a manner, time, and/or location that was unsafe, careless, and negligent . . ." (FAC, p. 4.) Similarly, the FAC alleges that "Defendant failed to train employees on how to prevent falls." (FAC, p. 8.) These conclusory allegations do not allege intent; nor do they allege facts indicating a conscious disregard for the safety of others. (*Turman, supra,* 191 Cal.App.4th at p. 63 ["Malice is defined in the statute as conduct intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others. Oppression means despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights. Fraud is an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury."], internal citations and quotation marks omitted.) "The mere allegation an intentional tort was committed is not sufficient to warrant an award of punitive damages. Not only must there be circumstances of oppression, fraud or malice, but facts must be alleged in the pleading to support such a claim." (*Grieves v. Superior Court* (1984) 157 Cal.App.3d 159, 166, internal citations omitted; see also *Austin v. Regents of University of California* (1979) 89 Cal.App.3d 354, 359 ["While there is no restriction against claiming punitive damages as against the defendant doctor, the allegations in plaintiff's complaint are purely conclusionary and do not meet the requirements . . . "].) Similarly, something "more than the mere commission of a tort is always required for punitive damages. There must be circumstances of aggravation or outrage, such as spite or 'malice,' or a fraudulent or evil motive on the part of the defendant, or such a conscious and deliberate disregard of the interests of others that his conduct may be called wilful or wanton." (*Taylor v. Superior Court of Los Angeles County* (1979) 24 Cal.3d 890, 894-895, internal citation and quotation marks omitted, emphasis omitted.)

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Case Name: *City of San Jose v. BW Macaw Group, Inc., et al.*
Case No.: 24CV446086

After full consideration of the evidence, the separate statements submitted by the parties, and the authorities submitted by each party, the court makes the following rulings:

Pursuant to Chapter 4.66 of the Municipal Code of the City of San Jose ("SJMC"), the City of San Jose ("City") imposes a Cannabis Business Tax ("CBT") on persons and businesses engaged in the sale, distribution and other enumerated transactional activities related to the operation or enterprise of cannabis products. (See complaint, ¶ 21.) Under the CBT, such businesses are required to obtain a business tax certificate from City pursuant to Chapter 4.76 of the SJMC, and to comply with all provisions of Chapter 4.66. (See complaint, ¶ 21.) The amount of the CBT imposed was 10% of the gross receipts arising out of cannabis transactions or activities. (See complaint, ¶ 22, citing SJMC § 4.66.250A.) At the end of each calendar month, each person or business subject to the CBT is required to prepare and file a tax return to City, stating the monthly gross receipts and remit the amount of the CBT owed; if the person or business fails to remit the owed CBT at that time, the tax becomes delinquent and penalties are